Retail Equity Research

V-Guard Industries Ltd.

Electrical Equipment

BSE CODE : 532953 NSE CODE: VGUARD
BLOOMBERG CODE: VGRD:IN SENSEX : 74,086

Accumulate

12 Months Investment Period Rating as per Small Cap

CMP Rs. 344 TARGET Rs. 385 RETURN 12%
(Closing: 06-03-2024)

KEY CHANGES: *TARGET* ↑ *RATING* ↔ *EARNINGS* ↓

Stable performance... margins profile to improve...

V-Guard Industries Ltd. (VGIL) is one of the leading players in the electrical consumer durables space. Major product segments include Stabilizers, Cables & Wires, UPS, Pumps and Electrical Appliances.

- **In Q3FY24, revenue rose by 19% YoY, meet our expectations, with steady growth across segments and a 7% contribution from Sun Flame.**
- **Gross margins increased by 430 bps YoY, but EBITDA margin expansion was constrained to 200bps YoY (8.7%) due to elevated other expenses. Nonetheless, net profit expanded by 48% YoY.**
- **Anticipated strong summer conditions are poised to drive overall growth, with stable inventory levels and stable raw material costs is expected to enhance margins.**
- **We maintain a positive outlook on the stock due to its rising proportion of in-house manufacturing, expanding product lineup, growth revival in consumer durables, and continued expansion into non-southern markets.**
- **We value VGIL at a P/E of 41x, as we roll forward to FY26E, and given the strong earnings outlook and healthy balance sheet, we maintain an Accumulate rating with a target price of Rs.385.**

Strong summer to drive revenues

In Q3 FY24, revenue grew by 19% YoY, propelled by a healthy contribution from the electronics and consumer durables segments, which grew by 16.7% and 11% YoY, respectively. Electronics segment growth was fuelled by traction in stabilizers, inverters, and batteries. The electricals segment grew by 8.3% YoY, given modest growth in electrical cables. Revenue from Sunflame was at Rs.76 crore, up by 24% QoQ. Fans continued to witness softness due to the change in BEE ratings. With summer approaching and non-BEE fans largely sold out, we anticipate a revival in fans sales from Q4 onwards. Water heaters saw tepid growth due to a delayed winter. Revenue growth from the south and non-south markets grew by 11% and 11.2% YoY, respectively. The management's aim is to increase the share of manufacturing, add new products, and expand its non-south markets. Going ahead, summer-related demand is expected to drive topline growth. We expect revenue to grow by a 15% CAGR over FY24–26.

EBITDA margin to improve.

The gross margin improved by 430bps YoY to 33.9% on account of normalisation of higher cost inventories and input prices. EBITDA grew by 54% YoY, while EBITDA margin improvement was limited to 200bps YoY to 8.7%, on account of one-offs. The net profit was at Rs.58cr, which was up by 48% YoY. Ad spend remained at 2.7% of sales for the quarter. Going ahead, stable inventory in the channel and a strong summer is expected to drive earnings in the near term. Stable copper prices will support a gradual improvement in margin. Our EPS estimates were reduced by 12% & 12.8% for FY24E & FY25E as we cut margin estimates by 80bpson account of the EBITDA margin miss as well as change in our deprecation assumptions. Despite earnings cuts, we expect PAT to grow at a healthy 27% CAGR over FY24E–26E.

Valuations

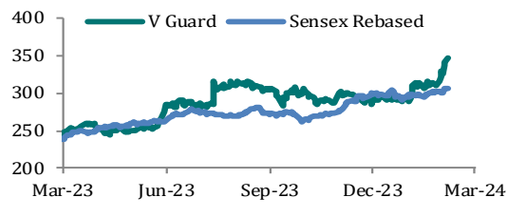
VGIL's long term outlook is improving, given its strong product portfolio, expansion in non-south markets, strong cash flow and healthy balance sheet. Stable RM prices will support margin expansion. The earnings outlook remains healthy, at 27% CAGR over FY24E-26E. We value VGIL at a P/E of 41x as we roll forward to FY26E EPS and maintain Accumulate rating with a target price of Rs. 385.

Company Data	
Market Cap (cr)	Rs.14,898
Enterprise Value (cr)	Rs.15,286
Outstanding Shares (cr)	43.4
Free Float	40.1%
Dividend Yield	0.37%
52 week high	Rs.350
52 week low	Rs.238
6m average volume (cr)	0.04
Beta	0.78
Face value	Rs. 1.0

Shareholding (%)	Q1FY24	Q2FY24	Q3FY24
Promoters	55.6	55.6	54.6
FII's	12.8	13.2	13.0
MFs/Institutions	19.4	19.4	20.5
Public	12.1	11.7	11.8
Others	0.1	0.1	0.1
Total	100.0	100.0	100.0
Promoter's Pledge	0.0	0.0	0.0

Price Performance	3 month	6 Month	1 Year
Absolute Return	17.2%	11.7%	40.3%
Absolute Sensex	9.5%	12.6%	23.5%
Relative Return*	7.7%	-0.9%	16.8%

*over or under performance to benchmark index



Consolidated (cr)	FY24E	FY25E	FY26E
Sales	4,805	5,528	6,327
Growth (%)	*16.4*	*15.0*	*14.5*
EBITDA	423	525	633
EBITDA Margin(%)	8.8	9.5	10.0
Adjusted PAT	254	327	407
Growth (%)	*34.0*	*28.7*	*24.5*
Adjusted EPS	5.9	7.5	9.4
Growth (%)	*34.0*	*28.7*	*24.5*
P/E	58.6	45.5	36.6
P/B	8.3	7.2	6.1
EV/EBITDA	36.2	28.9	23.7
ROE (%)	14.9	16.9	18.1
D/E	0.2	0.2	0.1

Anil R
Research Analyst

Quarterly Financials

Profit & Loss

Rs.cr	Q3FY24	Q3FY23	YoY Growth (%)	Q2FY24	QoQ Growth (%)	9MFY24	9MFY23	YoY Growth (%)
Sales	**1,165**	**981**	***18.8***	**1,134**	***2.8***	**3,514**	**2,985**	***17.7***
EBITDA	**102**	**66**	***54.3***	**92**	***9.9***	**299**	**221**	***35.5***
EBITDA margin	**8.7**	**6.7**	***200bps***	**8.2**	***56bps***	**8.5**	**7.4**	***111bps***
Depreciation	19	17	*14.7*	20	*-3.3*	59	45	*29.4*
EBIT	**82**	**49**	***67.7***	**73**	***13.5***	**240**	**175**	***37.0***
Interest	9	2	*295.0*	9	*1.0*	30	6	*390.6*
Other Income	3	6	*-47.1*	14	*-77.5*	29	14	*101.9*
Exceptional Items	-	-	-	-	-	-	-	-
PBT	**76**	**53**	***44.3***	**78**	***-1.7***	**240**	**184**	***30.5***
Tax	18	14	*32.8*	19	*-3.1*	58	47	*23.1*
Share of profit from Associate	0	0		0		0	0	-
Minority Interest	-	-	-	-	-	-	-	-
Reported PAT	**58**	**39**	***48.2***	**59**	***-1.2***	**181**	**136**	***33.1***
Adjustments	-	-	-	-	-	-	-	-
Adjusted PAT	**58**	**39**	***48.2***	**59**	***-1.2***	**181**	**136**	***33.1***
No. of Shares	43.4	43.2	-	43.4	-	43.4	43.2	-
EPS (Rs)	**1.4**	**0.9**	***48.2***	**1.4**	***-1.2***	**4.2**	**3.2**	***33.1***

Change in estimates

	Old estimates		New Estimates		Change (%)	
Year / Rs cr	**FY24E**	**FY25E**	**FY24E**	**FY25E**	**FY24E**	**FY25E**
Revenue	4,894	5,638	4,805	5,528	*-1.8%*	*-2.0%*
EBITDA	470	581	423	525	*-10.0%*	*-9.6%*
Margins (%)	9.6	10.3	8.8	9.5	*(80bps)*	*(80bps)*
Adj. PAT	288	375	254	327	*-11.8%*	*-12.8%*
EPS	6.7	8.6	5.9	7.5	*-12.5%*	*-12.3%*

Consolidated Financials

PROFIT & LOSS

Y.E March (Rs cr)	FY21A	FY22A	FY23A	FY24E	FY25E	FY26E
Sales	**2,721**	**3,500**	**4,126**	**4,805**	**5,528**	**6,327**
% change	*8.7*	*28.6*	*17.9*	*16.4*	*15.0*	*14.5*
EBITDA	**312**	**340**	**320**	**423**	**525**	**633**
% change	*21.0*	*9.0*	*-6.0*	*32.2*	*24.2*	*20.5*
Depreciation	39	49	64	78	86	94
EBIT	273	291	255	345	439	539
Interest	6	8	16	39	33	26
Other Income	21	11	16	33	30	30
Share of profit	-	-	-	-	-	-
PBT	**288**	**294**	**256**	**339**	**436**	**543**
% change	*15.4*	*2.0*	*-13.0*	*32.5*	*28.7*	*24.5*
Tax	86	63	62	92	112	0
Tax Rate (%)	*29.1*	*26.8*	*15.7*	*15.0*	*15.0*	*15.0*
Reported PAT	**202**	**228**	**189**	**254**	**327**	**407**
Adj.*	-	-	-	-	-	-
Adj. PAT	**202**	**228**	**189**	**254**	**327**	**407**
% change	*7.6*	*13.1*	*-17.2*	*34.4*	*28.7*	*24.5*
No. of shares (cr)	42.8	43.2	43.2	43.4	43.4	43.4
Adj EPS (Rs)	**4.7**	**5.3**	**4.4**	**5.9**	**7.5**	**9.4**
% change	*7.2*	*12.3*	*-17.4*	*34.0*	*28.7*	*24.5*
DPS (Rs)	0.0	1.2	1.3	1.3	1.3	1.3
CEPS (Rs)	5.6	6.4	5.9	7.7	9.5	11.6

BALANCE SHEET

Y.E March (Rs cr)	FY21A	FY22A	FY23A	FY24E	FY25E	FY26E
Cash	281	61	40	19	10	71
Accounts Receivable	388	484	569	658	757	832
Inventories	632	860	767	819	927	1,052
Other Cur. Assets	148	180	215	226	245	281
Investments	34	34	35	45	55	75
Gross Fixed Assets	463	609	779	879	979	1,079
Net Fixed Assets	358	451	567	589	602	609
CWIP	20	9	24	25	30	30
Intangible Assets	12	20	682	682	682	682
Def. Tax (Net)	4	9	(95)	(61)	(18)	37
Other Assets	-	-	-	-	-	-
Total Assets	**1,875**	**2,107**	**2,804**	**3,002**	**3,291**	**3,669**
Current Liabilities	537	566	607	660	755	858
Provisions	55	62	78	84	97	111
Debt Funds	68	66	512	452	362	272
Minor interest	5	5	-	-	-	-
Equity Capital	43	43	43	43	43	43
Reserves & Surplus	1,168	1,364	1,564	1,762	2,034	2,385
Shareholder's Fund	1,211	1,407	1,608	1,806	2,077	2,428
Total Liabilities	**1,875**	**2,107**	**2,804**	**3,002**	**3,291**	**3,669**
BVPS	**28**	**33**	**37**	**42**	**48**	**56**

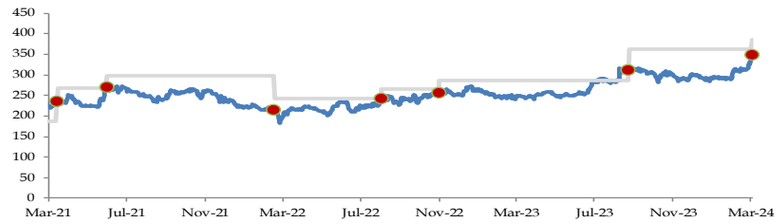
CASH FLOW

Y.E March (Rs cr)	FY21A	FY22A	FY23A	FY24E	FY25E	FY26E
Net inc. + Depn.	241	278	253	332	414	501
Non-cash adj.	23	4	29	(28)	(41)	(58)
Changes in W.C	(41)	(318)	141	(92)	(118)	(119)
C.F. Operation	**222**	**(37)**	**424**	**213**	**254**	**323**
Capital exp.	(65)	(124)	(101)	(111)	(115)	(120)
Change in inv.	106	4	(670)	33	30	30
Other invest.CF	-	-	-	-	-	-
C.F - Investment	**41**	**(121)**	**(771)**	**(78)**	**(85)**	**(90)**
Issue of equity	5	5	2	-	-	-
Issue/repay debt	(10)	(15)	380	(99)	(123)	(116)
Dividends paid	(0)	(52)	(56)	(56)	(56)	(56)
Other finance.CF	-	-	-	-	-	-
C.F - Finance	**(6)**	**(62)**	**326**	**(155)**	**(179)**	**(172)**
Chg. in cash	257	(220)	(21)	(21)	(9)	61
Closing cash	281	61	40	19	10	71

RATIOS

Y.E March	FY21A	FY22A	FY23A	FY24E	FY25E	FY26E
Profitab & Return						
EBITDA margin (%)	11.5	9.7	7.8	8.8	9.5	10.0
EBIT margin (%)	10.0	8.3	6.2	7.2	7.9	8.5
Net profit mgn.(%)	7.4	6.5	4.6	5.3	5.9	6.4
ROE (%)	18.3	17.5	12.5	14.9	16.9	18.1
ROCE (%)	17.9	17.2	11.4	13.4	15.3	16.9
W.C & Liquidity						
Receivables (days)	47.8	45.5	46.6	46.6	46.7	45.8
Inventory (days)	109.4	112.7	102.9	90.1	86.7	86.5
Payables (days)	88.2	83.4	74.2	71.9	70.3	70.5
Current ratio (x)	2.4	2.5	2.3	2.3	2.3	2.3
Quick ratio (x)	1.2	1.0	1.0	1.0	1.0	1.1
Turnover & Leverage						
Gross asset T.O (x)	8.9	8.7	7.7	6.9	6.7	6.8
Total asset T.O (x)	1.6	1.8	1.7	1.7	1.8	1.8
Int. covge. ratio (x)	44.8	36.9	15.8	8.8	13.5	20.7
Adj. debt/equity (x)	-0.1	0.0	0.3	0.2	0.2	0.1
Valuation						
EV/Sales (x)	5.4	4.2	3.7	3.2	2.7	2.4
EV/EBITDA (x)	46.9	43.7	47.9	36.2	28.9	23.7
P/E (x)	72.9	64.9	78.6	58.6	45.5	36.6
P/BV (x)	12.2	10.5	9.2	8.3	7.2	6.1

Recommendation summary (Last 3 Years)



Dates	Rating	Target
03-August-20	Accumulate	179
09-November-20	Accumulate	186
31-May-21	Accumulate	297
16-February-22	Accumulate	243
03-August-22	Accumulate	266
01-November-22	Accumulate	286
24-August-23	Accumulate	363
07-March-24	Accumulate	385

Source: Bloomberg, Geojit Research.

Investment Criteria

Ratings	Large caps	Midcaps	Small caps
Buy	**Upside is above 10%**	**Upside is above 15%**	**Upside is above 20%**
Accumulate	**-**	**Upside is between 10% - 15%**	**Upside is between 10% - 20%**
Hold	**Upside is between 0% - 10%**	**Upside is between 0% - 10%**	**Upside is between 0% - 10%**
Reduce/sell	**Downside is more than 0%**	**Downside is more than 0%**	**Downside is more than 0%**
Not rated/Neutral		**-**	

Definition:

Buy: Acquire at Current Market Price (CMP), with the target mentioned in the research note.

Accumulate: Partial buying or to accumulate as CMP dips in the future.

Hold: Hold the stock with the expected target mentioned in the note.

Reduce: Reduce your exposure to the stock due to limited upside.

Sell: Exit from the stock.

Not rated /Neutral: The analyst has no investment opinion on the stock.

To satisfy regulatory requirements, we attribute 'Accumulate' as Buy and 'Reduce' as Sell.

The recommendations are based on 12 month horizon, unless otherwise specified. The investment ratings are on absolute positive/negative return basis. It is possible that due to volatile price fluctuation in the near to medium term, there could be a temporary mismatch to rating. For reasons of valuations/return/lack of clarity/event we may revisit rating at appropriate time. Please note that the stock always carries the risk of being upgraded to BUY or downgraded to a HOLD, REDUCE or SELL.

Neutral- The analyst has no investment opinion on the stock under review

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Mr. C J. George, MD of Geojit Financial Services Ltd is currently serving in the board of V-Guard Industries Ltd as a Non Executive Director.

This report has been prepared independently by the equity research team of Geojit; the views expressed are solely the responsibility of the respective Analyst/Research Department.

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